

25STCV01672 25STCV01672

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Case Number: 25STCV01672 Hearing Date: July 21, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: July

22, 2026 TRIAL

DATE: Not set

CASE: Dhaval

Ruwala, et al. v. Desert View Emergency Physicians, et al.

CASE NO.: 25STCV01672

DEMURRER

WITHOUT MOTION TO STRIKE

MOVING

PARTY: Defendants Desert

View Emergency Physicians and Envision Physician Services, LLC

RESPONDING PARTY: Plaintiffs

Dhaval Ruwala and Chad Jensen

Plaintiffs Dhaval Ruwala ("Dr.

Ruwala") and Chad Jensen ("Dr. Jensen") are doctors who entered into contracts with Desert View Emergency Physicians ("Desert View") and Envision Physicians Services, LLC ("Envision") to perform work at Palmdale Regional Medical Center ("PRMC"). After raising concerns that

PRMC was not following safety guidelines in patient care, Plaintiffs allege that Desert View and Envision retaliated against Plaintiffs by terminating, or constructively terminating, their employment agreements. Plaintiffs also allege they were misclassified as independent contractors.

I. INTRODUCTION

On January 22, 2025, Plaintiffs commenced this action against Defendants, Desert View Emergency Physicians ("Desert View"), Envision Physicians Services, LLC ("Envision"), and Palmdale Regional Medical Center ("PRMC").

On August 21, 2025, Plaintiff filed the First Amended Complaint ("FAC") against Defendants for (1) misclassification; (2) violation of Labor Code §§ 98.6 and 1102.5 et seq.; (3) violation of Health and Safety Code § 1278.5; (4) wrongful termination in violation of public policy; (5) claims under the Private Attorneys General Act; (6) breach of contract, and (7) breach of the implied covenant of good faith and fair dealing.

On September 30, 2025, Desert View and Envision (hereafter, "Moving Defendants") filed a Demurrer to the FAC.

On March 5, 2026, the court overruled the demurrers to the first, second, fourth, and fifth causes of action and sustained the demurrers to the third, sixth, and seventh causes of action. Leave to amend was granted.

On March 25, 2026, Plaintiffs filed the Second Amended Complaint ("SAC") against Defendants for (1) misclassification; (2) violation of Labor Code §§ 98.6 and 1102.5 et seq.; (3) violation of Health and Safety Code § 1278.5; (4) wrongful termination in violation of public policy; (5) claims under the Private Attorneys General Act; and (6) breach of contract.

On June 11, 2026, Moving Defendants filed this Demurrer to the SAC.

On July 9, 2026, Plaintiffs filed an opposition.

On July 15, 2026, Moving Defendants
filed a reply.

II. LEGAL STANDARD

A demurrer for sufficiency tests
whether the complaint states a cause of action. (Hahn v. Mirda (2007)
147 Cal.App.4th 740, 747.) When considering demurrers, courts read the
allegations liberally and in context, accepting the alleged facts as true. (Nolte
v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)
“Because a demurrer challenges defects on the face of the complaint, it can
only refer to matters outside the pleading that are subject to judicial
notice.” (Arce ex rel. Arce v. Kaiser Found. Health Plan, Inc. (2010)
181 Cal.App.4th 471, 556.)

III. DISCUSSION

A. Judicial Notice

Moving

Defendants request judicial notice of one exhibit. The court took judicial notice of the exhibit
in connection to Moving Defendants' previous demurrer. The request is MOOT.

B. Meet and Confer

Plaintiffs

argue that Moving Defendants did not comply with the meet and confer
requirement. Code of Civil Procedure
section 430.41 states, in part, “Before filing a demurrer . . . the demurring
party shall meet and confer in person, by telephone, or by video conference
with the party who filed the pleading . . . for the purpose of determining
whether an agreement can be reached that would resolve the objections to be
raised in the demurrer.” (Code Civ.
Proc., § 430.41(a).) Further, the meet
and confer must take place “at least 5 days
before the date the responsive pleading is due.” (Code Civ. Proc., § 430.41(a)(2).) Here, the court agrees Moving Defendants
failed to comply with the meet and confer requirement. Moving Defendants served a meet and confer
letter on the day their responsive pleading was due. (Akhavessy Decl., ¶ 5.) Notwithstanding this procedural defect, the
court will consider the merits of the demurrer.

(Code Civ. Proc., § 430.41(a)(4).)

Moving Defendants are cautioned to observe all applicable rules going forward.

C.

Demurrer

Moving Defendants demur to the third and sixth causes of action. The court addresses the challenges in turn.

1.

Violation of Health and Safety Code § 1278.5 (3rd COA)

Health and Safety Code section 1278.5 provides, in relevant part, “A health facility shall not discriminate or retaliate, in any manner, against a patient, employee, member of the medical staff, or other health care worker of the health facility because that person has done either of the following: (A) Presented a grievance, complaint, or report to the facility, to an entity of agency responsible for accrediting or evaluating the facility, or the medical staff of the facility, or to any other governmental entity.” (Health & Saf. Code, § 1278.5, subd. (b)(1)(A).) Health & Safety Code section 1278.5 applies to health care facilities (subdivision (b)(1)) or entities that own or operate a health care facility (subdivision (b)(2)).

To allege a claim “under [Health & Safety Code] section 1278.5, a plaintiff must show that he or she (1) presented a grievance, complaint, or report to the hospital or medical staff (2) regarding the quality of patient care and (3) the hospital retaliated against him or her for doing so.” (Alborzi v. University of Southern California (2020) 55 Cal.App.5th 155, 179.) “Alternatively stated, to make a prima facie case of retaliation, a plaintiff must show (1) she [or he] engaged in a protected activity, (2) her [or his] employer [or other defendant] subjected her [or him] to an adverse employment action, and (3) a causal link between the two.” (Slone v. El Centro Regional Medical Center (2024) 106 Cal.App.5th 1160, 1168, quoting St. Myers v. Dignity Health (2019) 44 Cal.App.5th 301, quotations omitted.)

Previously, the court sustained Moving Defendants’ demurrer to the third cause of action in the FAC fails because (i) the allegations described PRMC’s conduct only and (ii) there were no allegations

showing that Moving Defendants were either a health care facility or an entity that owns or operates a health care facility.

After reviewing the SAC, the court finds that Plaintiffs have cured these defects. Specifically, the SAC alleges:

Desert View and Envision have no separate identity, except in form. (SAC, ¶ 21.)

Envision was notified in December 2021 that its business model violates California's ban on the corporate practice of medicine and that Envision "really exerts substantial control over the practice and health facility, including, billing, staffing, hours, payor contracting, and budgets." (SAC, ¶ 22.)

"Plaintiffs are informed and believe that Defendant PRMC utilized Defendant Desert View and Defendant Envision as staffing companies to bypass laws forbidding the corporate practice of medicine, and uses Defendant Envision and Desert View in order to hire physicians to staff their for-profit emergency rooms. At all times, Defendant PRMC controlled Plaintiffs' work schedules, required Plaintiffs to abide by their rules and regulations, had the power to hire them and fire them, set their salaries, supervised Plaintiffs in the course of their employment, and effectively employed Plaintiffs in violation of the corporate ban on the practice of medicine. Defendant Envision and Desert View provided Plaintiffs with onboarding paperwork and issued them their paychecks." (SAC, ¶ 23.)

Moving Defendants "acted as agents of PRMC in staffing, managing, and operating the emergency department at PRMC. PRMC delegated authority to these entities to operate the health facility, including regarding decisions to hire, supervise, discipline, and terminate physicians on its behalf. Communications regarding Plaintiffs' performance and complaints were shared between PRMC and Envision." (SAC, ¶ 24.)

"Since the beginning of his employment, Dr. Ruwala made several complaints to Defendant Envision's leadership, including Dr. Charles Otieno and Dr. James Rhee who served as supervisors to Plaintiffs, regarding the need for adequate and safe patient care at PRMC on par with current guidelines. During a meeting on November 8, 2023 with several Envision

physicians, both Plaintiffs vocalized their concerns of PRMC not following safety guidelines in patient care. On November 9, 2023, Defendants, including Envision Director Dr. Charles Otieno retaliated against Dr. Ruwala for his complaints pertaining to patient safety and accused him of creating "division." On November 9, 2023, Dr. Ruwala reiterated in email to Charles Otieno, James Rhee and Susan Kirk (all at their respective Envision email addresses) that his disclosures had been "made on the basis on wanting adequate and safe patient care." He noted that he had "made my concerns more than vocal to Envision multiple times and will continue to advocate for it..." (SAC, ¶ 26.)

For the purposes of the pleading stage, these allegations are sufficient to establish that Moving Defendants operated a health care facility. The SAC states a claim for violation of Health and Safety Code section 1278.5.

Moving Defendants go on to argue that *Armin v. Riverside Community Hospital* (2016) 5 Cal.App.5th 810 construes Health and Safety Code section 1278.5 to apply to the entire health care facility in question, not simply to the operation of an emergency department within the health care facility as is alleged here. (See SAC, ¶ 24.) However, Moving Defendants' reliance on *Armin* is misplaced. *Armin* held only that section 1278.5 does not apply to an individual doctor. And, as Moving Defendants concede, there is no published authority which answers the question here: whether an entity which operates a portion of a health care facility may be held liable for violation of section 1278.5. In the absence of such authority, the court finds the SAC provides sufficient allegations to state a claim for violation of section 1278.5 against Moving Defendants.

The demurrer to the third cause of action is OVERRULED.

2. Breach of Contract (6th Cause of Action)

The elements of a breach of contract cause of action are: (1) the existence of a valid contract between the plaintiff and the defendant, (2) the plaintiff's performance, (3) the defendant's unjustified failure to perform, and (4) damages to the plaintiff caused by the defendant's breach. (CACI No. 303; *Careau & Co. v. Security Pacific Business, Inc.* (1990) 222 Cal.App.3d 1371,

1388;

Previously,

the court sustained Moving Defendants' demurrer to Dr. Ruwala's breach of contract action because the FAC did not allege a breach of a contractual term. Specifically, the court found that the FAC did not show that Dr. Ruwala was not compensated for work he performed.

Moving Defendants now argue that

the allegations of the SAC support the inference that PRMC made the decision to terminate Dr. Ruwala's privileges at the PRMC hospital which in turn, triggered and satisfied "the condition in section 5.C.9 of Ruwala's independent contractor agreement, which provides that the "Company may terminate this Agreement immediately upon the occurrence of any of the following events: . . .

If the [Health Care Entity] informs Company that Contractor is no longer permitted to provide services at the Facility" (SAC, Ex. A, pp. 3–4, § 5.C.9.)

The argument lacks merit. Moving Defendants ask the court to draw an inference in support of their interpretation of the allegations and to ignore any inferences in favor of the pleader.

Moving Defendants subvert the standard on demurrer. Further, the allegations in the SAC support the view that Moving Defendants participated in, ratified, and procured the contractual condition under Section 5.C.9 by issuing Dr. Ruwala's termination letter days after Dr. Ruwala repeatedly complained about unsafe patient care, PRMC's CEO instructed Dr. Ruwala to stop raising those concerns, and Plaintiffs reported retaliation and patient safety issues to PRMC Human Resources. (SAC, ¶ 88.) In other words, Moving Defendants breached their contract with Dr. Ruwala by preventing Dr. Ruwala from completing the contract term. (SAC, ¶ 90.) The SAC states a breach of contract claim.

The demurrer to the sixth cause of action is OVERRULED.

IV. CONCLUSION

The demurrers are Overruled.

Moving

Defendants are ordered to serve and file their Answer to the Second Amended

Complaint within 5 days of this order.

Plaintiffs to give notice, unless
waived.

Dated: July 22, 2026

Brock T. Hammond

Judge of the
Superior Court